

LAW & MOTION CALENDAR
TENTATIVE RULINGS

September 18, 2026

09:00 AM

CX-101

JUDGE WILLIAM D. CLASTER

Department CX101 Phone Number: (657) 622-5301

The Court will hear oral argument on all matters at the time noticed for the hearing. If you would prefer to submit the matter on your papers without oral argument, please advise the clerk by calling (657) 622-5301. The Court will not entertain a request for continuance nor filing of further documents once the ruling has been posted.

APPEARANCES: Appearances, whether remote or in person, must be in compliance with new Code of Civil Procedure §367.75, California Rules of Court, Rule 3.672, and Superior Court of California, County of Orange, Appearance Procedure and Information, Civil Unlimited and Complex, located at https://www.occourts.org/media-relations/covid/Civil_Unlimited_and_Complex_Appearance_Procedure_and_Information.pdf.

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#	CASE NAME	MATTER
1	Llauger vs. Light on Marketing, LLC 2025-01537013	Defendant’s Motion for Leave to File Cross Complaint Defendant Light on Marketing, LLC (“LOM”) moves for leave to file a cross-complaint. The motion is GRANTED IN PART AND DENIED IN PART. Specifically: 1. The motion is DENIED as to proposed cross-complainants Richard Folk and William Wilson. 2. The motion is DENIED as to all claims arising from the Wyndham and Diamond matters. 3. The motion is GRANTED as to LOM’s claims arising directly from Plaintiff Courtland Llauger’s alleged behavior on sales calls. Llauger’s request for judicial notice is GRANTED. LOM shall file a revised cross-complaint in compliance with this ruling by September 28, 2026. <u>GROUND’S FOR RULING</u> I. <u>Factual Background</u> A. <u>Complaint</u> This is an individual wage-and-hour action founded on misclassification. Per the complaint (ROA 2), Llauger was employed by LOM as a salesperson and paid on a commission-only basis. He was classified as exempt under the inside sales exemption. Llauger alleges he wasn’t paid more than 1.5 times the minimum wage as required for the exemption to apply. He further alleges he wasn’t separately paid for non-productive time. He brings

	standard wage-and-hour claims that are downstream of his alleged misclassification. B. <u>Proposed Cross-Complaint</u> The proposed cross-complaint (Slattery Decl. (ROA 38), Ex. A) alleges as follows: LOM is a company that provides timeshare contract resolution services. It is owned by Folk and Wilson, who were actively involved in management and operation. LOM employed Llauger as a salesperson. He was responsible for communicating directly with prospective customers, conducting sales and intake presentations, discussing customer accounts, and obtaining signed customer agreements. LOM provided detailed sales guidelines that Llauger and other salespersons were expected to follow when interacting with current and prospective customers. Llauger departed from those guidelines, causing LOM to lose current and prospective customers. Furthermore, timeshare developers such as Wyndham and Diamond brought claims against LOM, Folk, and Wilson arising from sales practices like those described in the cross-complaint. Folk and Wilson were individually sued by Wyndham and Diamond. Folk and Wilson contend that Plaintiff’s customer-facing conduct contributed to their individual exposure in the Wyndham and Diamond matters. C. <u>Judicially Noticeable Material</u> Before filing this suit, Llaguer filed a PAGA-only matter against LOM, Folk, and Wilson, No. 25-01504232. (RJN (ROA 50), Ex. 1.) The PAGA-only matter is also pending in this Court. The Wyndham litigation referred to in the proposed cross-complaint is <i>Wyndham Vacation Ownership, Inc. v. Slattery, Sobel & Decamp, LLP</i>, 11th Cir. No. 24-13025. (RJN, Ex. 2.) Defendants in that matter are Slattery, Sobel & Decamp, LLP; Pandora Servicing, LLC; Intermarketing Media, LLC; Wilson; and Folk. (<i>Ibid.</i>) LOM is not listed as a party to the Wyndham litigation. II. <u>Standard of Review</u> Cross-claims are either compulsory or permissive. A compulsory cross-claim involves a “related cause of action,” i.e., “a cause of action which arises out of the same transaction, occurrence, or series of transactions or occurrences as the cause of action which the plaintiff alleges in his complaint.” (CCP § 426.10(c).) A compulsory cross-claim must be brought in the same action as the plaintiff’s complaint; otherwise, the defendant is barred from asserting it in the future. (CCP § 426.30(a).) A party who fails timely to file a compulsory cross-complaint may file for leave to do so. Courts are to grant such motions “upon such terms as may be just to the parties,” and leave to amend should be liberally granted to avoid forfeiture of causes of action. (CCP § 426.50.) A permissive cross-claim is “[a]ny cause of action [the defendant] has against any of the parties who filed the complaint or cross-complaint against him.” (CCP § 428.10.) Permissive cross-claims need not be related to the subject matter of the complaint in any way. They merely need to be claims the defendant has against the plaintiff. “When a person files a cross-complaint as authorized by Section 428.10, he may join any person as a cross-complainant or cross-defendant, whether or not such person is already a party to the action, if, had the cross-complaint been filed as an independent action, the joinder of that party would have been permitted by the statutes governing joinder of parties.” (CCP § 428.20.) To be properly joined as a cross-complainant, the person must assert a right to relief “arising out of the same transaction, occurrence, or series of transactions or occurrences” as the action, and there must be a “question of law or fact common to all these persons” in the action. (CCP § 378(a).)
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	III. <u>Discussion</u> A. <u>Wyndham and Diamond Litigation</u> LOM, Folk, and Wilson all bring claims arising from the Wyndham litigation and Diamond litigation. They allege that Llauger’s departure from LOM’s sales guidelines contributed to the damages claimed in those cases. LOM, as the party seeking leave to amend, bears the burden of proving leave would be proper. Here, judicially noticeable documents show LOM was not party to the Wyndham litigation. LOM never explains how it could have claims arising from litigation it was not party to. Moreover, LOM puts on no evidence that it was party to the Diamond litigation. Ordinarily, the Court would accept the cross-complaint’s allegation that LOM was involved in the Diamond litigation, but given its absence from the Wyndham litigation, more is required. Moreover, from the Court’s own research, it appears LOM is <i>not</i> party to the Diamond litigation, which appears to be <i>Diamond Resorts U.S. Collection Development, LLC v. Pandora Marketing, LLC</i>, C.D.Cal. No. CV 20-5486 DSF (ADSx). In the court’s ruling on the parties’ cross-motions for summary judgment, reported at 656 F.Supp.3d 1073, the defendants are listed as Pandora Marketing, LLC; Intermarketing Media, LLC; JL Sean Slattery; Carlsbad Law Group, LLP; Del Mar Law Group, LLP; and Slattery, Sobel, and Decamp, LLP. Llauger is alleged to be an employee of LOM, not of any other defendant in the Wyndham or Diamond matters. Absent proof that LOM was a party to either case, it cannot state a claim arising from damages awards against it in those cases. CCP § 428.10 allows a defendant to bring, as a permissive cross-claim, any cause of action <i>the defendant</i> has against the plaintiff. Perhaps other parties have causes of action against Llauger for actions allegedly giving rise to the Wyndham and Diamond matters, but LOM does not. And because LOM has no cause of action arising from the Wyndham and Diamond matters, Folk and Wilson’s claims arising from those matters are not properly before the Court. Because they are not currently defendants, they may only become cross-complainants if their causes of action arise from the same occurrences as the underlying action—i.e., from Llauger’s employment by LOM. Since LOM is not a party to the Wyndham and Diamond matters, Folk and Wilson’s claims arising from the Wyndham and Diamond matters do not arise from the same occurrences as this case. Leave to file a cross-complaint alleging claims arising from the Wyndham and Diamond matters is therefore denied. Moreover, the only damages Folk and Wilson claim to have sustained individually—rather than damages sustained by LOM, the company they own—arise from the Wyndham and Diamond matters. (See Slattery Decl., Ex. A, at ¶ 85 (“Folk and Wilson also sustained individual damages separate from LOM’s corporate damages . . . arising from claims asserted against them personally by timeshare developers.”).) This is the sole reference to Folk and Wilson’s individual damages in the proposed cross-complaint. Because they claim no other damages, and because the Wyndham and Diamond matters are not properly before the Court, leave to amend to name them as cross-complainants is denied. B. <u>Claims Directly Arising from Llauger’s Acts</u> This leaves LOM’s claims that arise directly from Llauger’s alleged acts, such as claims that his failure to follow contractually agreed-upon sales guidelines caused LOM to lose current and prospective customers. These are compulsory cross-claims arising from the same occurrences or series of occurrences as Llauger’s claims. As LOM points out in reply, Llauger has put his commission-based pay at issue. To the extent his departure from the sales guidelines resulted in canceled, charged back, or disputed customer transactions, that would bear on whether he had earned the commissions associated with those transactions.
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	Llauger argues leave should nevertheless be denied because LOM brings this motion in bad faith. The Court disagrees. First, citing <i>Gherman v. Colburn</i> (1977) 72 Cal.App.3d 544, Llauger argues the timing of the proposed cross-complaint shows bad faith. LOM’s counsel, however, declares that he only began to investigate Llauger’s employment after this suit was filed. During the course of that investigation, he and LOM discovered facts giving rise to affirmative claims against Llauger. (Slattery Decl. ¶¶ 3-4.) Llauger finds this suspect. He points out that the proposed cross-complaint turns on recordings of sales calls going back to 2020, yet LOM didn’t seek leave to file the cross-complaint until 2026—after Folk and Wilson were named as defendants in the companion PAGA matter. <i>Gherman</i> is unhelpful to Llauger. There, the plaintiffs sued the defendants for a joint venture gone sour. They brought both legal and equitable claims. The operative complaint was filed in October 1970. In August 1973, the plaintiffs dismissed their equitable claims for dissolution of a joint venture, an accounting, and appointment of a receiver. The case proceeded to a jury trial in October 1973. (<i>Gherman, supra</i>, 72 Cal.App.3d at p. 553.) On the first day of trial, the defendants moved for leave to file a cross-complaint for judicial dissolution and an accounting, i.e., the same equitable claims the plaintiffs had dismissed. The trial court denied the motion, and the appellate court affirmed. It explained that until the first day of trial, through years of litigation (and related cases), the defendants had taken the position that there was no joint venture in the first place, so there was nothing to judicially dissolve or take an accounting of. Only after the plaintiffs dismissed their claims for judicial dissolution and an accounting did the defendants seek to bring those claims back, and they did so on the first day of trial rather than promptly seeking leave when plaintiffs filed their dismissal. Moreover, the record reflected long-running, heated disputes about whether the case could be tried to a jury at all. The plaintiffs, who wanted a jury, dismissed their equitable claims. The defendants, eager to avoid a jury, tried to bring equitable claims back into the case on the first day of trial. The trial court could reasonably conclude this was “merely a tactical, strategic maneuver to deprive plaintiffs of a right to a jury trial.” (<i>Id.</i>, at pp. 558-559.) The timeline set forth by Llauger raises questions, but it is nothing so egregious as <i>Gherman</i>. The evidence he presents is insufficient for the Court to find bad faith on this ground. Next, Llauger argues that LOM’s continued employment of him for years after the alleged conduct at issue began is impossible to square with bringing its cross-claims now. The Court disagrees. Llauger erroneously assumes that LOM knew of his alleged conduct. LOM’s counsel testifies it was his investigation that uncovered the claims. Llauger also argues that because the cross-complaint relies on illustrative examples rather than specific instances of provable damages, it is “difficult to reconcile” with good faith. (Opp. at p. 13.) He cites no authority so holding. Finally, citing <i>Foot’s Transfer & Storage Co. v. Superior Court</i> (1980) 114 Cal.App.3d 897, Llauger contends leave should be denied because amendment will work a “substantial injustice” to him. (<i>Id.</i>, at p. 903.) The Court disagrees. Llauger complains that the proposed cross-complaint will impose an onerous burden on him in discovery and potentially expose him to a claim for punitive damages. He cites no authority for the proposition that this constitutes a “substantial injustice.” Furthermore, suppose leave to file a cross-complaint were denied. LOM could then file a separate, standalone action against Llauger, where it could impose the same discovery burdens on him and expose him to the same claim for punitive damages. Denying leave to file a cross-complaint will not keep him from facing his claimed substantial injustice.
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		IV. <u>Conclusion</u> The motion for leave to file a cross-complaint is granted as to LOM’s claims that directly arise from Llauger’s alleged conduct. It is denied as to all claims arising from the Wyndham and Diamond matters and all claims brought by Folk and Wilson.
2	Aerotek Affiliated Services, Inc. vs. Golledge 2022-01281583	Defendant’s Motion for Leave to File Cross Complaint Defendant Jobot, LLC moves for leave to file a cross-complaint. The motion is GRANTED. Jobot is to file and serve the proposed cross-complaint (which is attached to the amended notice of motion (ROA 355), with proposed exhibits filed across multiple entries in the register of actions) by no later than September 28, 2026. <u>GROUND FOR RULING</u> The parties agree the cross-complaint Jobot seeks to file is compulsory. (See Opp. (ROA 372) at p. 2.) Leave to file a compulsory cross-complaint “shall” be granted when a party fails timely to file one if the party seeking leave “acted in good faith.” (CCP § 426.50.) Leave to amend should be liberally granted “to avoid forfeiture of causes of action.” (<i>Ibid.</i>) This is a matter involving alleged employee-poaching by Jobot. As the 21st affirmative defense in its answer to the 2AC (ROA 164), Jobot alleges that Plaintiffs’ claims are based on restrictive covenants in employment agreements that violate California law and are therefore unenforceable. The proposed cross-complaint seeks a declaration that these covenants, in specific employment agreements attached to the cross-complaint, are unenforceable. That is, the proposed cross-complaint effectively converts the affirmative defense to an affirmative claim for relief. Counsel for Jobot declares that the number of employees at issue has changed over the course of the case. At one point, there were nearly 90 at issue. As of June 2026, Plaintiffs reduced the number of at-issue employees from nearly 90 to 30. (Heffner Decl. (included in ROA 355) ¶¶ 3-4.) At a recent status conference, Jobot’s counsel explained that Jobot had a particular interest in having the enforceability of the restrictive covenants litigated, and it was worried (based on how related cases in other jurisdictions have progressed) that the case might be resolved without addressing that issue. (See Scheiderer Decl. (ROA 374) Ex. A.) In its reply, Jobot argues that by bringing an affirmative cross-claim for declaratory relief, it can ensure the enforceability issue is litigated regardless of how Plaintiffs plan to proceed on their own claims. This is more than sufficient for the Court to conclude Jobot has acted in good faith by bringing this motion. In particular, the sudden downward shift in employees at issue in June 2026 suggests Plaintiffs might attempt to press for a resolution that never addresses enforceability. Jobot acted promptly upon realizing this possibility. Plaintiffs repeatedly argue that Jobot has proffered no reason at all for its delay in bringing this motion. They ignore counsel’s testimony about the June 2026 change in the number of employees at issue and counsel’s comments (in a transcript Plaintiffs submit to the Court) about how related cases have progressed. This case is nothing like <i>County of Los Angeles v. Quinn Emanuel Urquhart & Sullivan, LLP</i> (2025) 115 Cal.App.5th 489 or <i>Gherman v. Colburn</i> (1977) 72 Cal.App.3d 544, both cited by Plaintiffs. In <i>Quinn Emanuel</i>, the defendant waited to move for leave to file a compulsory cross-complaint until after summary judgment in the plaintiff’s favor had already been granted. (<i>Quinn Emanuel, supra</i>, 115 Cal.App.5th at p. 509.) In <i>Gherman</i>, the defendant moved for leave to file a compulsory cross-complaint on the first day of trial, and the record contained detailed evidence of bad faith. (<i>Gherman, supra</i>, 72 Cal.App.3d at pp. 558-560.) Here, there is no trial date on calendar, and

		the only evidence of bad faith adduced by Plaintiffs is Jobot’s delay in seeking relief—a delay that, contrary to Plaintiffs’ argument, is well-explained. Accordingly, the motion is granted.
3	Marquez vs. CSL Berkshire Operating LLC 2025-01518232	Plaintiff’s Motion to Dismiss Plaintiff Hermina R. Marquez’s motion to dismiss pursuant to CRC 3.770 is GRANTED. On July 23, 2026, Defendant CSL Berkshire Operating Company, LLC served a CCP § 998 offer on Plaintiff. Plaintiff accepted the offer on July 30. (Carlin Decl. (included in ROA 45) ¶ 2 & Ex. 1.) The parties agreed that Defendant will pay Plaintiff \$17,005 to settle her individual claims, plus attorney’s fees in an amount to be determined. (<i>Id.</i>, at ¶ 3.) In the meantime, the Ventura County Superior Court has preliminarily approved a class and PAGA settlement in <i>Orozco v. Clearwater Senior Living</i>, No. 202200568082CUOE. The <i>Orozco</i> case involves identical overlapping class and PAGA claims on behalf of similarly situated employees. (<i>Id.</i>, ¶ 6 & Ex. 2.) In this case, on the other hand, no class has been certified, no notice of this action has been sent to putative class members, and neither Plaintiff nor her counsel have contacted unrepresented employees regarding this case. (<i>Id.</i>, ¶ 5.) Plaintiff’s motion complies with the requirements of CRC 3.770. It is granted. Her individual claims are dismissed with prejudice, and her class and PAGA claims are dismissed without prejudice.
4	Viramontes vs. Prestige Design Center, Inc. 2021-01179611	Plaintiff’s Motion to Correct Clerical Error in Judgment Plaintiffs’ unopposed motion to correct clerical errors in the judgment is GRANTED. CCP § 473(d) provides: “The court may, upon motion of the injured party, or its own motion, correct clerical mistakes in its judgment or orders as entered, so as to conform to the judgment or order directed, and may, on motion of either party after notice to the other party, set aside any void judgment or order.” Plaintiffs contend the judgment in this class and PAGA action (ROA 434) contains two clerical errors. First, while the motion lists various Court-approved deductions from the agreed-upon gross settlement amount, the Gross Settlement Amount (GSA) itself is never listed. Second, because the GSA is never listed, the net settlement amount payable to class members cannot be calculated. It is undisputed that the GSA in this matter is \$527,752.93. (LaCour Decl. (ROA 464) Ex. C, at ¶ 23.) Taking the deductions from the GSA listed in the judgment, the NSA is \$243,720.93. “The difference between judicial and clerical error rests not upon the party committing the error, but rather on whether it was the deliberate result of judicial reasoning and determination. The distinction between clerical error and judicial error is whether the error was made in rendering the judgment, or in recording the judgment rendered.” (<i>Rochin v. Pat Johnson Manufacturing Co.</i> (1998) 67 Cal.App.4th 1228, 1238.) Here, the omission of the GSA and resulting NSA is an error in recording the judgment rendered. While the deductions taken from the GSA were subject to the Court’s discretion, the GSA was fixed by the parties’ settlement. There is no dispute that whatever amount is left over following the discretionary deductions would, <i>without</i> an exercise of the Court’s discretion, become the Net Settlement Amount (NSA). The Court will therefore correct the clerical error in the judgment by amending it to add the amounts of the GSA and NSA.
5	Diaz vs. Precision Waterjet Inc.	Plaintiff’s Motion for Final Approval

	2024-01421315	Plaintiff’s motion for final approval of the parties’ class action and PAGA settlement is GRANTED. The Court approves the following distributions: 1. Attorney’s fees in the amount of \$160,050, or 30% of the GSA. The Court finds this amount to be a reasonable result in light of the quality of the result obtained, the work performed by class counsel, a review of the billing records provided, and the estimated lodestar. In approving this amount and examining the billing records provided, the Court is not approving any particular hourly billing rates proposed by class counsel. 2. Litigation costs in the amount of \$20,215, the full amount sought. 3. Administration costs in the amount of \$8,500, per the administrator’s declaration. 4. An enhancement of \$5,000 to plaintiff. In making this award, the Court has considered only the factors set forth in <i>Golba v. Dick’s Sporting Goods, Inc.</i> (2015) 238 Cal.App.4th 1251 and <i>Clark v. Am. Residential Servs. LLC</i> (2009) 175 Cal.App.4th 785. 5. Payment to the LWDA of \$32,500, per the parties’ PAGA allocation. Pursuant to section 384(b) of the Code of Civil Procedure, Plaintiff shall submit to the Court a final report on or before March 30, 2027 setting forth the actual amounts paid to class members and other amounts disbursed pursuant to the settlement. Upon receiving the report, the Court will determine whether further reports and/or a hearing will be necessary. Please submit a revised proposed order for the Court’s signature that conforms to the foregoing.
6	PELORUS FUND REIT, LLC, a Delaware limited liability company vs. ARGENT INSTITUTIONAL TRUST COMPANY, as successor in interest to Acquiom Agency Services LLC, a Florida corporation 2026-01563653	Plaintiff’s Motion for Attorney Fees Pelorus Fund REIT, LLC’s motion for attorney’s fees is DENIED. The Court has not considered any of the parties’ citations to unpublished decisions of the California Superior Courts. (See <i>Santa Ana Hospital Medical Center v. Belshe</i> (1997) 56 Cal.App.4th 819, 831 (“a written trial court ruling has no precedential value”).) <u>GROUND FOR RULING</u> The CNG Defendants, joined by Argent, filed a special motion to strike Pelorus’s complaint under CCP § 425.16. The Court denied that motion, ruling that the CNG Defendants and Argent failed to meet their burden under step one of the anti-SLAPP analysis. (ROA 121.) Pelorus now seeks its attorney’s fees incurred in opposing the motion under CCP § 425.16(c)(1), which provides in relevant part: “If the court finds that a special motion to strike is frivolous or is solely intended to cause unnecessary delay, the court shall award costs and reasonable attorney’s fees to a plaintiff prevailing on the motion, pursuant to [CCP] Section 128.5.” I. <u>Safe Harbor Compliance</u> “Section 425.16, subdivision (c)’s reference to section 128.5 means a court “‘must use the procedures and apply the substantive standards of section 128.5 in deciding whether to award attorney fees [to a prevailing plaintiff] under the anti-SLAPP statute.’” (Zarate v. McDaniel (2023) 97 Cal.App.5th 484, 488 (alteration in original).) “Relevant here, section 128.5, subdivision (f)(1)(B) is a safe harbor provision, which provides that where the challenged action—like a written motion—‘can be withdrawn or appropriately corrected,’ a motion for sanctions cannot be filed with the court unless the challenged action has not been withdrawn or corrected ‘21 days after service of the [sanctions] motion or [within] any other period as the court may

	prescribe.” (<i>Id.</i>, at p. 489.) “Courts strictly apply section 128.5, subdivision (f)’s safe harbor provision. [Citation.] If a moving party fails to comply with it, the sanctions motion must be denied.” (<i>Ibid.</i>) Here, there is no dispute that Pelorus failed to follow the safe harbor requirements. Indeed, its motion for fees was served after the Court had already denied the anti-SLAPP motion, making it impossible for the CNG Defendants and Argent to withdraw their motion. Pelorus’s fee motion is accordingly denied. Pelorus offers two arguments against this conclusion. First, in its reply papers, Pelorus rejects the rule set forth in <i>Zarate</i>. Pelorus quotes an unpublished Court of Appeal case for the proposition that § 128.5(f) is “inapplicable to requests for anti-SLAPP attorney’s fees.” (Reply at p. 6 (quoting <i>Ibbetson v. Grant</i> (Dec. 7, 2021, G059067) 2021 WL 5783174, at *6).) <i>Zarate</i> is published authority; <i>Ibbetson</i> is not. This Court is bound to follow published cases. (See <i>Auto Equity Sales, Inc. v. Superior Court</i> (1962) 57 Cal.2d 450, 455.) Furthermore, the citation to <i>Ibbetson</i> violates the Rules of Court. Pelorus is cautioned that further citation to unpublished appellate opinions may result in an order to show cause why it should not be sanctioned for violating CRC 8.1115(a). Second, Pelorus argues compliance with the safe harbor requirement was not possible, and therefore excusable. It relies on <i>Changsha Metro Group Co., Ltd. v. Xufeng</i> (2020) 57 Cal.App.5th 1, which holds “that if it is not possible to comply with the safe harbor and separate motion requirements of section 128.5, subdivision (f) when seeking attorney’s fees, then one should use the procedures set forth in subdivisions (a) and (c).” (<i>Id.</i>, at p. 18.) <i>Changsha</i> notes that in the usual anti-SLAPP context, compliance with the safe harbor requirement is all but impossible. An anti-SLAPP motion must be heard within 30 days of filing, so “plaintiff would need to draft and serve its section 128.5, subdivision (f) sanctions motion almost immediately after receiving the anti-SLAPP motion due to the 30-day clock that is running for the hearing date. Then, the plaintiff would need to draft its opposition to the anti-SLAPP motion while risking that the defendant will withdraw or correct its anti-SLAPP motion during the 21-day safe harbor period.” (<i>Id.</i>, at p. 19.) <i>Zarate</i>, however, clarifies that <i>Changsha</i>’s rule is inapplicable when there is sufficient time to comply with the safe harbor requirement. There, the hearing on the anti-SLAPP motion was scheduled for three months after the motion was filed, giving the plaintiffs more than enough time to “ascertain whether it was frivolous or intended to cause unnecessary delay, draft their attorney fees motions, and serve those motions on [the defendant] with sufficient time to provide him a 21-day window within which he could have withdrawn that motion before the court ruled on it.” (<i>Zarate, supra</i>, 97 Cal.App.5th at p. 491.) This case is closer to <i>Zarate</i> than <i>Changsha</i>. The anti-SLAPP motion was filed on May 22. It was originally set for hearing on July 10, 49 days later. (The hearing was later continued to August 4, but for purposes of this analysis, the original hearing date is the relevant one.) To provide the CNG Defendants and Argent 21 full days before the hearing to decide whether to withdraw the motion, Pelorus would have had to serve its motion for fees no later than June 18, 22 days before the hearing. June 19 is 27 days from May 22. This is hardly the situation in <i>Changsha</i>, where a plaintiff would have to draft and serve its fee motion “almost immediately.” (<i>Changsha, supra</i>, 57 Cal.App.5th at p. 19.) Compliance with the safe harbor requirement was feasible here. Pelorus further contends that because the amount of fees it incurred was unknown until the Court ruled on the anti-SLAPP motion, compliance with the safe harbor requirement was impossible. On this point, Pelorus relies on <i>Hart v. Avetoom</i> (2002) 95 Cal.App.4th 410, which holds that the sanctions motion initially served and the sanctions motion subsequently filed must be identical. (See <i>id.</i>, at p. 414 (“True, the two motions were similar, but the
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	problem is they were not the same. ‘Close’ is good enough in horseshoes and hand grenades, but not in the context of the sanctions statute.”.) Pelorus reasons that with the amount of fees unknown before the Court’s ruling, the sanctions motion served would necessarily differ from the sanctions motion filed, since the latter would specify a dollar amount sought. But Pelorus could have asked for fees in an amount to be determined rather than specifying a dollar amount. This would avoid the identical-motion problem. Because Pelorus failed to comply with the safe harbor requirement, its motion for fees is denied. II. <u>Frivolousness and Delay</u> Even if Pelorus complied with the safe harbor requirement, its motion fails on the merits. A prevailing plaintiff may recover fees incurred in opposing an anti-SLAPP motion only when a court finds the anti-SLAPP motion was frivolous or brought solely to cause unnecessary delay. (CCP § 425.16(c)(1).) A. <u>Frivolousness</u> “A determination of frivolousness requires a finding the anti-SLAPP ‘motion is “totally and completely without merit” [citation], that is, “<i>any reasonable attorney would agree such motion is totally devoid of merit.</i>”’” (Moore v. Shaw (2004) 116 Cal.App.4th 182, 199 (emphasis original).) In this regard, the mere rejection of the anti-SLAPP movant’s arguments should not be confused for frivolousness. (See, e.g., Albanese v. Menounos (2013) 218 Cal.App.4th 923, 937 (denying fees under § 425.16(c)(1) because “[a]lthough we rejected Menounos’s contentions on the merits, we cannot say her contentions were frivolous or exceeded the bounds of rational argument.”).) The anti-SLAPP motion here was not frivolous. The gravamen of the motion was that Pelorus’s claims all arose from statements made in, or in connection with, the Receivership Action pending in San Diego County Superior Court. The Court found the motion failed at step one because the CNG Defendants and Argent failed to establish, as a matter of law, that Pelorus’s claims arose from statements made in the Receivership Action. But the CNG Defendants and Argent’s arguments weren’t frivolous. For example, Pelorus’s complaint alleges the defendants claimed to have nonexistent or unenforceable secured interests that interfered with Pelorus’s senior secured interests. (Compl. ¶ 143(b).) The Court held that because this allegation could be a reference to UCC financing statements that long predated the Receivership Action, it was impossible to say <i>as a matter of law</i> that the allegation arose from the Receivership Action. In the context of this action, however, it was hardly irrational for the CNG Defendants and Argent to believe this allegation was about statements made in the Receivership Action. As the Court noted in its ruling, this case was arguably filed in response to developments in the Receivership Action. Furthermore, while the defendants couldn’t show <i>as a matter of law</i> that Pelorus’s claims arose from protected activity, the allegations of the complaint could be read to cover protected activity. B. <u>Delay</u> “Whether the sole purpose of the motion is to harass an opposing party or the motion is solely intended to cause unnecessary delay, in contrast, concerns the subjective motivation of the moving defendant. [Citation.] The moving defendant’s subjective motivation can be inferred from the absence of any arguable merit.” (Chitsazzadeh v. Kramer & Koslow (2011) 199 Cal.App.4th 676, 684.) As set forth above, the anti-SLAPP motion had arguable merit. The Court therefore will not infer the motion was brought for the sole purpose of delay. Instead, Pelorus must prove defendants’ subjective motivation. First, Pelorus argues “Defendants filed their motion to trigger [the automatic discovery stay of CCP § 425.16(g)], and Argent followed suit by filing their
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		joinder one week later.” (Mot. at p. 9.) In support of this argument, Pelorus cites to paragraphs 7 and 8 of its counsel’s declaration. Paragraphs 7 and 8 state the dates the motion and joinder were filed, but neither paragraph says anything about the defendants’ motivation for filing. Nor does Pelorus put on evidence that it served discovery requests before the motion was filed. Second, Pelorus argues the delay motivation is shown by the defendant’s decision to submit on the Court’s tentative ruling without presenting oral argument. Pelorus reads far too much into this decision. “Submission on a tentative ruling is neutral; it conveys neither agreement nor disagreement with the analysis.” (<i>Mundy v. Lenc</i> (2012) 203 Cal.App.4th 1401, 1406.) Third, Pelorus argues an email from the CNG Defendants’ counsel “emphasized the effect of their motion as creating delay.” (Mot. at p. 10.) The Court disagrees with this reading of the email. As the CNG Defendants argue in their opposition, the email is better read as a routine scheduling conferral between parties. (Opp. at pp. 12-13.) Finally, Pelorus argues the anti-SLAPP motion was filed to deny Pelorus its procedural due process rights. This argument makes little sense. Pelorus puts on no evidence that the delay associated with an anti-SLAPP motion will deny it the ability to have its claims heard in court. The Court does not see how delay equates with denial in this case. Moreover, to the extent the hearing on the anti-SLAPP motion was further delayed when it was continued from July 10 to August 4, that delay came at the request of Pelorus’s counsel. (ROA 76.) Pelorus has not shown the anti-SLAPP motion was filed for the sole, subjective purpose of delay.
7	Rivera vs. Simply Fresh, LLC 2025-01532908	Defendant’s Petition to Compel Arbitration Defendant Adept HR, Inc. moves to compel arbitration of Plaintiff Darwin Sanchez Rivera’s claims. Adept’s motion is joined by Defendant Simply Fresh, LLC. The motion is GRANTED. Plaintiff is ordered to arbitrate his claims (including the individual component of his PAGA claim) on an individual basis. His class claims are dismissed without prejudice. The representative component of his PAGA claim is stayed pending completion of arbitration. Because the arbitration agreement delegates questions of enforceability to the arbitrator, Plaintiff may renew his arguments about unconscionability in arbitration. An arbitration review conference will be held in Department CX-101 on June 30, 2027 at 8:30 a.m. <u>GROUND FOR RULING</u> I. <u>Existence of Agreement</u> A. <u>Standard of Review</u> The moving party bears the burden of proving the existence of an arbitration agreement by the preponderance of the evidence. (<i>Gamboa v. Northeast Community Clinic</i> (2021) 72 Cal.App.5th 158, 164.) But the burden of production shifts in a three-step process. (<i>Id.</i>, at p. 165.) “First, the moving party bears the burden of producing ‘prima facie evidence of a written agreement to arbitrate the controversy.’ [Citation.] The moving party ‘can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party’s] signature.’” (<i>Ibid.</i>) “If the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then in the second step, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement. [Citation.] The opposing party can do this in several ways. For example, the opposing party may testify under oath or declare under penalty of perjury that the party never saw or does not remember seeing the agreement, or that the party never signed or does not remember signing the

	agreement.” (<i>Ibid.</i>) “If the opposing party meets its burden of producing evidence, then in the third step, the moving party must establish with admissible evidence a valid arbitration agreement between the parties. The burden of proving the agreement by a preponderance of the evidence remains with the moving party.” (<i>Id.</i>, at pp. 165-166.) B. <u>Analysis</u> Adept meets its step one burden. Attached to the first declaration of Betsy Lanza (included in ROA 34) as Exhibit A is an agreement to arbitrate purporting to bear the electronic signatures of both Plaintiff and Adept representative Elias Contreras. Plaintiff meets his shifted step two burden. He testifies: “To be clear from the outset, prior to this lawsuit — I have never seen [the arbitration agreement], let alone sign [sic] it. Indeed, during my employment with Adept, I never electronically signed any employment documents, including an arbitration agreement.” (Sanchez Decl. (included in ROA 43) ¶ 6.) Plaintiff also puts on evidence he contends shows it was impossible for him to have signed the agreement as Adept claims. Attached to his counsel’s declaration is an excerpt from his personnel file that was produced by Adept. The excerpt includes a list titled “Policy Acknowledgment Signatures.” The list identifies fourteen separate documents, including an arbitration agreement. Each listed document has the following notation: “Employee Signature: Darwin Sanchez 05/31/2024 10:02:17 PM GMT.” (Adams Decl. (included in ROA 43) Ex. B.) Plaintiff argues it is impossible for him to have signed fourteen documents in the exact same second, let alone to have read them and signed them. The burden therefore shifts to Adept to prove the existence of an agreement by preponderance of the evidence. Adept submits a second declaration from Betsy Lanza, its Human Resources Manager. (ROA 49.) Lanza explains that when a person wishes to apply for a job with Adept, he or she must first request an application. Adept will send an email to the email address provided by the applicant. The email includes a link to the application materials on Adept’s online portal. The portal offers application materials in both English and Spanish. The applicant is prompted to create a unique PIN that only he or she knows. The PIN is used to electronically sign the application forms, which include an arbitration agreement. When the applicant has signed all the forms, Adept’s recruiters are notified, and they are able to electronically countersign on behalf of the company. (2nd Lanza Decl. ¶ 4.) Unless the applicant signs all the forms, including the arbitration agreement, his or her application cannot move forward. (<i>Id.</i> ¶ 5.) As to the time stamp in Plaintiff’s personnel file, Lanza explains that once all the forms are signed, the applicant submits the entire application package at once. The time stamp in Plaintiff’s personnel file reflects the time that his signature on each document was submitted to Adept, not the time he entered his PIN. (<i>Ibid.</i>) Taking all of the above into account, the Court finds Adept has proven the existence of an agreement to arbitrate by the preponderance of the evidence. II. <u>Terms of Agreement</u> There is no dispute that the agreement covers all claims at issue here, requires individual arbitration of claims, contains a class and representative action waiver, and states that it is governed by the FAA except in circumstances not present in this case. III. <u>Unconscionability</u> Plaintiff contends the agreement is unconscionable and thus unenforceable.
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		However, section 11 of the agreement provides: “Except as expressly provided above with respect to class, collective, or representative actions, the arbitrator will have the exclusive authority to resolve any dispute relating to the interpretation, applicability, enforceability, or formation of this Agreement, including whether any part of this Agreement is unenforceable.” Accordingly, Plaintiff’s unconscionability arguments are delegated to the arbitrator. Plaintiff may renew them in arbitration. IV. <u>Claims Against Simply Fresh</u> Plaintiff contends that regardless of whether he must arbitrate his claims against Adept, he never agreed to arbitrate his claims against Simply Fresh. Plaintiff correctly notes that the agreement doesn’t mention Adept’s clients at all. But he ignores his own FAC, where he alleges Adept and Simply Fresh were joint employers and were the agents of one another. (FAC ¶ 9.) Furthermore, Plaintiff’s substantive allegations repeatedly refer to “Defendants” as a single group, without distinguishing between them. (See generally FAC.) Therefore, Simply Fresh may compel arbitration of Plaintiff’s claims under his agreement with Adept. (See <i>Garcia v. Pexco, LLC</i> (2017) 11 Cal.App.5th 782, 788 (defendant not party to arbitration agreement could compel arbitration when “the operative complaint alleged workplace violations against Real Time and Pexco as joint employers, referred to both employers collectively as ‘defendants’ without any distinction, and alleged identical claims and conduct regarding unlawful and improper acts”).) V. <u>Further Proceedings</u> Plaintiff is ordered to arbitrate his individual claims (including the individual portion of his PAGA claim) against Adept and Simply Fresh. His class claims are dismissed without prejudice pursuant to the class waiver in the agreement. The representative portion of his PAGA claim is stayed pending completion of the arbitration. (See <i>Adolph v. Uber Technologies, Inc.</i> (2023) 14 Cal.5th 1104, 1123-1124.)
8	Padilla vs. Walt Disney Parks and Resorts U.S. Inc. 2019-01077209	Defendant’s Motion for Judgment on the Pleadings Defendant Walt Disney Parks and Resorts U.S., Inc. (WDPR) moves for judgment on the pleadings regarding the Phase One PAGA claims of Plaintiff David Anthony Padilla insofar as those claims are based on meal and rest break violations. For the reasons set forth below, WDPR’s motion is GRANTED WITHOUT LEAVE TO AMEND. WDPR’s unopposed requests for judicial notice are GRANTED. On its own motion, the Court proposes to take judicial notice of the Los Angeles County Superior Court’s model settlement agreement for class/PAGA actions. <u>GROUND’S FOR RULING</u> I. <u>Brief Background</u> Following several summary adjudication and class certification/decertification rulings, there are no more class claims in this matter. Padilla’s PAGA claims remain to be tried. On July 13, 2026, the Court bifurcated the case. A Phase One trial scheduled for January 2027 will deal with Padilla’s individual claims, while a subsequent Phase Two trial will deal with Padilla’s representative claims. WDPR contends Padilla’s PAGA claims based on meal and rest break during the time period relevant to Phase One are barred by claim preclusion following the entry of judgment in <i>Valenzuela v. Walt Disney Parks and Resorts U.S., Inc.</i>, C.D.Cal. No. 8:17-cv-01988-JVS-DFM. Accordingly, it moves for judgment on the pleadings. II. <u>Standard of Review</u> “A motion for judgment on the pleadings is akin to a general demurrer; it

	tests the sufficiency of the complaint to state a cause of action.” (<i>Wise v. Pacific Gas & Electric Co.</i> (2005) 132 Cal.App.4th 725, 738.) Because motions for judgment on the pleadings are subject to the same standards as general demurrers, the Court is guided by long-settled rules. The Court “treat[s] the [motion] as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.” (<i>Serrano v. Priest</i> (1971) 5 Cal.3d 584, 591.) “The complaint must be construed liberally by drawing reasonable inferences from the facts pleaded.” (<i>Rodas v. Spiegel</i> (2001) 87 Cal.App.4th 513, 517.) “Further, [the Court] gives the complaint a reasonable interpretation, reading it as a whole and its parts in their context.” (<i>Blank v. Kirwan</i> (1985) 39 Cal.3d 311, 318.) “To survive a [motion for judgment on the pleadings], the complaint need only allege facts sufficient to state a cause of action; each evidentiary fact that might eventually form part of the plaintiff’s proof need not be alleged.” (<i>C.A. v. William S. Hart Union High School Dist.</i> (2012) 53 Cal.4th 861, 872.) However, “a [motion for judgment on the pleadings] may be [granted] where judicially noticeable facts render the pleading defective.” (<i>Scott v. JPMorgan Chase Bank, N.A.</i> (2013) 214 Cal.App.4th 743, 751.) III. Discussion The parties agree the Padilla-specific time period for Phase One is October 31, 2016 to April 23, 2017. (Bertagna Decl. (ROA 903) ¶ 3.) Furthermore, there is no dispute that the <i>Valenzuela</i> settlement released PAGA claims arising from meal and rest breaks during the Phase One period. The parties dispute whether that release precludes Padilla’s claims. This analysis is complicated by the wording and structure of the <i>Valenzuela</i> settlement agreement, which long predates current best practices for the settlement of a combined class/PAGA action. For example, the current Los Angeles County Superior Court model settlement agreement for class/PAGA matters has separate definitions for “aggrieved employees,” “class,” and “participating class members,” separate releases applicable to “aggrieved employees” and “participating class members,” and a clear statement that aggrieved employees who opt out of the settlement class are nevertheless covered by the aggrieved employees’ release of PAGA claims. (See Model Agreement, at §§ 1.4, 1.5, 1.34, 5.2, 5.3, and 7.5.4.) The <i>Valenzuela</i> agreement sets a “Total Settlement Amount” of \$2,000,000. (ROA 905, Ex. C, at ¶ 15(a).) From this amount, the parties agreed to deduct attorney’s fees and costs, costs of settlement administration, service payments to the class representatives, a payment to the LWDA pursuant to PAGA, and employer-side payroll taxes. (<i>Ibid.</i>) The amount remaining is the “Net Settlement Proceeds.” (<i>Id.</i>, ¶ 15(b).) The parties allocated \$20,000 “to settle the PAGA claim,” with 25% of the PAGA allocation payable to aggrieved employees (under the version of PAGA in effect at the time) paid to class members as part of their individual settlement payments. (<i>Id.</i>, ¶ 15(g).) That is, individual PAGA payments are included in the Net Settlement Proceeds. The Net Settlement Proceeds are distributed to Participating Class Members according to an allocation plan set forth at ¶ 15(d)-(e). Non-Participating Class Members do not receive individual settlement payments. Instead, their individual shares remain part of the Net Settlement Proceeds to be distributed to Participating Class Members. (<i>Id.</i>, ¶ 15(k).) That is, Non-Participating Class Members <i>do not</i> receive individual PAGA payments, even if they are aggrieved employees. Finally, “Non-Participating Class Members will not be bound by the Settlement.” (<i>Ibid.</i>) The agreement goes on to provide that “Participating Class Members will release . . . any and all . . . claims for . . . civil and statutory penalties” based on the allegations of the operative complaint, “including without limitation . . . PAGA.” (<i>Id.</i>, ¶ 19.) That is, under the terms of the settlement agreement/contract, Non-Participating Class Members are not bound by the release. The federal court granted final approval to the <i>Valenzuela</i> settlement and entered final judgment in a single order. The order notes that
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	the LWDA received notice of the settlement as required by PAGA and did not object or otherwise indicate opposition. (ROA 905, Ex. B, at ¶ 12.) It is undisputed that Padilla opted out of the settlement. (ROA 905, Ex. D, at Ex. B thereto (list of opt-outs from settlement administrator).) WDPR contends that despite his opt-out, his PAGA claims arising from meal and rest breaks are barred. “An employee plaintiff suing [under PAGA] does so as the proxy or agent of the state’s labor law enforcement agencies.” (<i>Arias v. Superior Court</i> (2009) 46 Cal.4th 969, 986.) “Every PAGA claim is ‘a dispute between an employer and the state.’” (<i>Kim v. Reins International California, Inc.</i> (2020) 9 Cal.5th 73, 81.) “Because an aggrieved employee’s action under the Labor Code Private Attorneys General Act of 2004 functions as a substitute for an action brought by the government itself, a judgment in that action binds all those, including nonparty aggrieved employees, who would be bound by a judgment in an action brought by the government.” (<i>Arias, supra</i>, 46 Cal.4th at p. 986.) The <i>Valenzuela</i> settlement resulted in a final judgment on PAGA claims belonging to the state arising from meal and rest break violations (among other violations). Padilla opted out of the settlement, but he remained a “nonparty aggrieved employee[]” who is bound to the same extent he would be if the state had sought civil penalties in the first instance. <i>Robinson v. Southern Counties Oil Co.</i> (2020) 53 Cal.App.5th 476 is on point. There, Robinson filed a PAGA claim against his employer. His tenure at the employer was entirely covered by the settlement period in a prior class action, <i>Gutierrez</i>. The <i>Gutierrez</i> settlement also covered PAGA claims arising during the settlement period. Robinson opted out of the <i>Gutierrez</i> settlement and argued that because he opted out, his PAGA claim was not barred. (<i>Id.</i>, at pp. 480-481.) The appellate court disagreed, explaining: “While Robinson was free to, and did, opt out of the class settlement of any individual claims he may have had, there is no mechanism for opting out of the judgment entered on the PAGA claim.” (<i>Id.</i>, at p. 482.) “The <i>Gutierrez</i> settlement and resulting judgment finally resolved the LWDA’s claims with respect to the violations alleged in that action. Robinson cannot opt out of that settlement and thereafter pursue civil penalties for the same violations again on behalf of the LWDA. Accordingly, the doctrine of claim preclusion bars relitigation of the claim for civil penalties based on the Labor Code violations resolved in <i>Gutierrez</i>.” (<i>Id.</i>, at p. 483.) In opposition, Padilla admits he couldn’t opt out of a PAGA settlement and judgment if he were covered by it. He contends that because the <i>Valenzuela</i> release is expressly limited to Participating Class Members, he isn’t covered. He notes that <i>Robinson</i> says nothing about how the settlement agreement there was structured. WDPR supplies a copy of the <i>Gutierrez</i> agreement in its reply RJN. (ROA 939, Ex. A.) The <i>Gutierrez</i> agreement provides for a Gross Settlement Amount of \$1,912,500, a portion of which consists of money already paid, presumably due to a <i>Pick Up Stix</i> campaign. (<i>Id.</i>, at § III(B)-(C).) From the additional money the employer contributed to the GSA, the parties agreed to deduct a class representative service payment, a separate settlement payment for the class representative’s individual claims, attorney’s fees and costs, costs of administration, and \$35,000 for “settlement of claims under the Private Attorneys General Act.” (<i>Id.</i>, at § III(D)(1)-(4).) The 25% of the PAGA payment allocated to individual PAGA payments would “remain in the Net Settlement Amount for distribution.” (<i>Id.</i>, at § III(D)(4).) The Net Settlement Amount would be distributed to class members as provided in § III(E). The plan of distribution includes no separate distribution for aggrieved employees who opt out of the class settlement, and the agreement provides that class members who opt out “shall not receive any payment of any kind in connection with this Agreement or this Action, [and] shall not be bound by
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		or receive any benefit of this Agreement.” (<i>Id.</i>, at § IV(C)(1).) The agreement further confirms that the administrator “shall pay Settlement Shares” to “all Class Members (who do not submit valid requests to be excluded from the Action).” (<i>Id.</i>, at § IV.J.) Finally, the release language provides, “Plaintiff, the Class, and each Class Member who has not properly submitted a timely and valid request to be excluded from the Action” will release “all claims . . . includ[ing] . . . all such claims arising under . . . the Private Attorneys General Act.” (<i>Id.</i>, at § V.A.) There is no separate PAGA-only release applicable to aggrieved employees. The <i>Gutierrez</i> agreement is functionally identical to the <i>Valenzuela</i> agreement. It states that a payment will be made in exchange for settlement of PAGA claims. It provides that the individual share of the PAGA payment will be paid only to participating class members, not to all aggrieved employees, and it contains a release of PAGA claims that purports to bind only class members. But because the real party in interest on the PAGA claims is the state rather than the employee, Robinson’s PAGA claims were barred even though he opted out of the settlement. The same result holds here. Padilla’s arguments about the scope of the release in the settlement agreement confuse the contractual release language with the effect of entry of judgment on the state’s PAGA claim. Again, Padilla owns no PAGA claim of his own. By operation of law, under <i>Arias</i>, he is bound by the entry of judgment on the <i>Valenzuela</i> PAGA claim to the same extent the state would be if the state itself had filed the <i>Valenzuela</i> PAGA claim. Whether Padilla is bound by the <i>Valenzuela</i> release is irrelevant. Judgment was entered on the state’s PAGA claim. That judgment binds the aggrieved employees, even if they are nonparties. (See <i>Arias, supra</i>, 46 Cal.4th at p. 986.) Accordingly, WDPR’s motion is granted. Because the Court sees no way Padilla can amend his complaint to avoid the preclusive effect of the <i>Valenzuela</i> judgment, leave to amend is denied.
9	Tanski vs. Toyota Motor Sales, U.S.A., Inc. 2026-01573539	Defendant’s Demurrer to Amended Complaint Defendant’s Demurrer to Complaint Defendant’s Motion to Seal Defendant’s Motion to Seal <u>MOTION TO SEAL</u> Defendants Toyota Motor Sales U.S.A., Inc., Toyota Motor Engineering & Manufacturing North America, Inc., and Toyota Motor Manufacturing, California, Inc. move to seal (1) the opening memorandum in support of their demurrer and (2) the settlement agreement attached as Exhibit B to the declaration of Gretchen Eddy. Both motions are DENIED. The clerk is ordered to publicly file ROA 70 (the memorandum) and ROA 71 (the declaration). <u>GROUND S FOR RULING</u> A court may order a record to be filed under seal only if it expressly finds facts establishing: 1. There exists an overriding interest that overcomes the right of public access to the record; 2. The overriding interest supports sealing the record; 3. A substantial probability exists that the overriding interest will be prejudiced if the record is not sealed; 4. The proposed sealing is narrowly tailored; and 5. No less restrictive means exist to achieve the overriding interest. (Cal. Rules of Court, rule 2.550(d).)

	Defendants claim two overriding interests. First, they contend the confidentiality clause in the settlement agreement creates an overriding interest that justifies sealing the agreement and the portions of the memorandum that refer to it. In support of this argument, they cite to a footnote in <i>NBC Subsidiary (KNBC-TV), Inc. v. Superior Court</i> (1999) 20 Cal.4th 1178. There, the California Supreme Court noted that “Courts have acknowledged various other overriding interests,” and it string-cited cases that found overriding interests. (<i>Id.</i>, at p. 1222 fn. 46.) In a parenthetical, the court described one of these cases, from the United States Court of Appeals for the Third Circuit, as holding that “enforcement of binding contractual obligations not to disclose” was an overriding interest. (<i>Ibid.</i> (describing <i>Publiker Industries, Inc. v. Cohen</i> (3d Cir. 1984) 733 F.2d 1059).) <i>NBC Subsidiary</i> did not say that the Third Circuit’s discussion of federal law was an accurate statement of California law. Rather, it included <i>Publiker</i> in a list of cases that had found different overriding interests. Another of Defendants’ cases, <i>Universal City Studios, Inc. v. Superior Court</i> (2003) 110 Cal.App.4th 1273, explains why their reliance on <i>NBC Subsidiary</i> is incorrect. <i>Universal City Studios</i> points out that <i>NBC Subsidiary</i> contains only a brief description of <i>Publiker</i>. “[A] thorough reading of all of the <i>Publiker</i> opinion makes it clear that the Third Circuit requires more than a mere agreement of the parties to seal documents filed in a public courtroom. . . . sealing can only occur under the Third Circuit rule when there has been a specific showing of serious injury.” (<i>Id.</i>, at pp. 1281-1282.) Subsequent California authority holds that “the mere agreement of the parties alone is insufficient to constitute an overriding interest to justify sealing the documents.” (<i>McNair v. National Collegiate Athletic Assn.</i> (2015) 234 Cal.App.4th 25, 36.) Defendants put on no evidence of specific, serious injury that will result if the terms of the settlement agreement are made public. Accordingly, the agreement’s confidentiality provision is not an overriding interest that supports sealing. Second, citing <i>Monster Energy Co. v. Schechter</i> (2019) 7 Cal.5th 781, Defendants contend California’s strong public policy favoring settlement of actions, which “supports attendant needs for confidentiality,” is an overriding interest. (<i>Id.</i>, at p. 793.) The Court disagrees. <i>Monster Energy</i> considered whether an attorney was bound by a settlement agreement’s confidentiality clause when he approved that agreement as to form. It did not consider whether the policy favoring settlement justified sealing a confidential settlement agreement when the agreement itself was the subject of a subsequent lawsuit. “Cases do not stand for propositions not considered.” (<i>State Water Resources Control Bd. v. Superior Court</i> (2025) 115 Cal.App.5th 734, 772.) Because Defendants have not identified an overriding interest that supports sealing the record, their motions are denied. <u>DEMURRER OF TOYOTA MOTOR SALES, U.S.A., INC. ET AL TO FIRST AMENDED COMPLAINT</u> Defendants Toyota Motor Sales U.S.A., Inc., Toyota Motor Engineering & Manufacturing North America, Inc., and Toyota Motor Manufacturing, California, Inc. demur to the First Amended Complaint (FAC) of Plaintiff Ariel Tanski. For the reasons set forth below, Defendants’ demurrer is SUSTAINED WITHOUT LEAVE TO AMEND. Defendants’ unopposed request for judicial notice is GRANTED. <u>GROUND FOR RULING</u> I. Background Plaintiff owned a Toyota vehicle. He was involved in an accident while driving his vehicle and sustained injuries. On January 3, 2025, he filed suit against various Toyota-related companies (including some of the moving Defendants here), alleging claims sounding in products liability. (FAC ¶ 26; RJN Ex. B.) The
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	parties resolved the case with a formal settlement agreement. (FAC ¶ 27; RJN Ex. A.) Plaintiff dismissed his products liability suit with prejudice on April 10, 2026. (RJN Ex. C.) Plaintiff’s counsel in the products liability suit was the same counsel that represents him in this suit. (See generally RJN Exs. A-C.) Included in the settlement agreement is the following provision: Without limiting the breadth of the foregoing, RELEASOR and his attorneys expressly agree not to publicize or otherwise allow the publication of this settlement via television, radio, Internet, firm websites, newspapers, magazines, or in any other media source, and agree not to discuss with any media source, verdict or settlement reporter, or issue any press releases about anything related to the ACTION, the CLAIMS, the DAMAGES, the INJURIES, the INCIDENT, the VEHICLE, any of terms, conditions and amounts in this SETTLEMENT AGREEMENT, or the negotiations and discussions that led to the parties entering this SETTLEMENT AGREEMENT. The parties acknowledge that this Section 13.0 is a material clause of the SETTLEMENT AGREEMENT and that no agreement would have been reached without it. FAC ¶27. Roughly six weeks later, Plaintiff filed the present suit, naming the moving Defendants and Toyota Motor Credit Corporation (which has filed its own separate demurrer) as defendants. He contends the above provision (described by Plaintiff as a “non-disparagement provision” and by Defendants as a “confidentiality provision”) violates Civ. Code § 1748.50, which provides, “Any provision in a contract or agreement that prohibits a consumer from publishing or making statements about the business as a condition of receiving a partial or complete refund or any other consideration or thing of value is contrary to public policy and shall be void and unenforceable.” On behalf of a putative class of Californians who entered into settlement agreements with Defendants containing similar provisions, Plaintiff brings claims for declaratory relief, injunctive relief, and severance of the offending terms. II. <u>Standard of Review</u> In reviewing the sufficiency of a complaint against a demurrer for failure to state facts sufficient to state a cause of action, the Court is guided by long-settled rules. The Court “treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.” (<i>Serrano v. Priest</i> (1971) 5 Cal.3d 584, 591.) “The complaint must be construed liberally by drawing reasonable inferences from the facts pleaded.” (<i>Rodas v. Spiegel</i> (2001) 87 Cal.App.4th 513, 517.) “Further, [the Court] gives the complaint a reasonable interpretation, reading it as a whole and its parts in their context.” (<i>Blank v. Kirwan</i> (1985) 39 Cal.3d 311, 318.) “To survive a demurrer, the complaint need only allege facts sufficient to state a cause of action; each evidentiary fact that might eventually form part of the plaintiff’s proof need not be alleged.” (<i>C.A. v. William S. Hart Union High School Dist.</i> (2012) 53 Cal.4th 861, 872.) III. <u>Discussion</u> Defendants put forth several grounds for demurrer. The Court need only consider the first: the statute does not apply to Plaintiff’s settlement agreement. A. <u>Statutory Construction</u> The California Supreme Court has explained: “The basic rules of statutory construction are well established. ‘When construing a statute, a court seeks to determine and give effect to the intent of the enacting legislative body.’ [Citation.] “‘We first examine the words themselves because the statutory language is generally the most reliable indicator of legislative intent. [Citation.] The words of the statute should be given their ordinary and
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	usual meaning and should be construed in their statutory context.” [Citation.] If the plain, commonsense meaning of a statute’s words is unambiguous, the plain meaning controls.’ [Citation.] But if the statutory language may reasonably be given more than one interpretation, ““courts may consider various extrinsic aids, including the purpose of the statute, the evils to be remedied, the legislative history, public policy, and the statutory scheme encompassing the statute.”” (People v. King (2006) 38 Cal.4th 617, 622.) 1. <u>Language of the Statute</u> As noted above, the statute provides: “Any provision in a contract or agreement that prohibits a consumer from publishing or making statements about the business as a condition of receiving a partial or complete refund or any other consideration or thing of value is contrary to public policy and shall be void and unenforceable.” (Civ. Code § 1748.50.) The plain language indicates the statute prohibits businesses from forcing non-disclosure provisions on consumers before they will provide refunds. Plaintiff rejects this conclusion. He contends the reference to “any other consideration or thing of value” is broad enough to encompass payments made to settle litigation. The Court disagrees. Plaintiff’s reasoning violates the canon of <i>ejusdem generis</i>. “The canon, which ““applies whether specific words follow general words in a statute or vice versa,”” instructs that ““the general term or category is ‘restricted to those things that are similar to those which are enumerated specifically.’” [Citation.] It is based on the following logic: Had the Legislature ““intended the general words to be used in their unrestricted sense, it would not have mentioned the particular things or classes of things which would in that event become mere surplusage.”” (Brown v. City of Inglewood (2025) 18 Cal.5th 33, 43.) Partial or complete refunds are a subset of “any other consideration or thing of value.” Interpreting “any other consideration or thing of value” as Plaintiff proposes would render the Legislature’s reference to partial or complete refunds mere surplusage. Accordingly, under <i>ejusdem generis</i>, “any other consideration or thing of value” is best understood as consideration similar to a partial or total refund, e.g., a gift card given to a complaining consumer. 2. <u>Legislative History</u> Legislative history should be considered only if a statute is ambiguous. The Court does not find the statute ambiguous. However, to the extent any ambiguity exists, legislative history confirms the Court’s reading of the statute. The Senate Rules Committee’s report on the bill that became Civ. Code § 1748.50 explains that “[c]onsumer reviews have become the lodestar for fellow consumers interested in learning more about a product, service or experience.” (Sen. Rules Com., Off. of Sen. Floor Analyses, Analysis of Assem. Bill No. 1900 (2023-2024 Reg. Sess.) as amended June 23, 2024, at p. 2; attached as Exh. D to Eddy Declaration.) It continues: “However, some unscrupulous businesses have attempted to silence unsatisfied customers by requiring, as a condition of receiving a refund, the customer to sign a nondisclosure agreement, preventing other consumers from getting the full picture. To address this practice, this bill provides that any contractual provisions that prohibit a consumer from publishing or making statements about the business as a condition of receiving a partial or full refund or other consideration or thing of value is void and unenforceable.” (<i>Ibid.</i>) The bill’s author commented, “This bill is motivated by reports that businesses have conditioned refunds on consumers contractually agreeing to refrain from publishing or otherwise making negative statements about the business.” (<i>Id.</i>, at p. 3.) As an example, the author discussed a dental device company that “promised easy refunds to consumers” but “required almost all consumers seeking a refund to sign a restrictive NDA before they could
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		get any money back.” (<i>Id.</i>, at p. 4.) The Consumer Attorneys of California commented in support of the bill. They wrote, “Several studies show that consumers read reviews before making a purchase; we agree that businesses should not attempt to block the transparency of this information to conceal potentially poor and unsatisfactory business practices.” (<i>Id.</i>, at p. 5.) In sum, the legislative history confirms that Civ. Code § 1748.50 concerns nondisclosure provisions required as a condition of refunds. B. <u>Application</u> The settlement agreement at issue resolved a personal injury claim sounding in products liability. The offending provision did not require confidentiality or non-disparagement as a condition of receiving a refund. Rather, confidentiality or non-disparagement was required as a condition of receiving a payment to settle a personal injury lawsuit. The Court is not suggesting that all lawsuit settlements are automatically immune from Civ. Code § 1748.50. Suppose, for example, a dissatisfied consumer, stonewalled in informal efforts to resolve his complaints, filed suit for a refund. In that circumstance, perhaps a settlement payment might properly be considered a refund subject to the statute. But no such facts are before the Court. Plaintiff undisputedly settled a personal injury claim. His complaint in the prior lawsuit claims standard personal injury damages. Plaintiff did not seek to recover the purchase price for his vehicle. (RJN, Ex. B, at ¶ 11.) Because Plaintiff’s settlement agreement is not covered by Civ. Code § 1748.50, Defendants’ demurrer is sustained. Further, because the Court does not see how this defect can be cured by amendment, leave to amend is denied.
10	CITY OF IRVINE, a Municipal corporation vs. ENTERPRISES LIMITED PARTNERSHIP, a California Limited Partnership 2026-01554211	Plaintiff’s Motion to Prejudgment Possession Before the Court are motions for prejudgment possession in five eminent domain cases arising from the City of Irvine’s planned improvement of the intersection of Jamboree Road and Barranca Parkway: 1. <i>City of Irvine v. ERD Enterprises Limited Partnership</i>, No. 26-01554211 2. <i>City of Irvine v. Corporate Park Property Owner’s Association, Inc.</i>, No. 26-01554947 3. <i>City of Irvine v. Thrifty Oil Co.</i>, No. 26-01554208 4. <i>City of Irvine v. Blackburg, Inc.</i>, No. 26-01554305 5. <i>City of Irvine v. 96 Corporate Park</i>, No. 26-01554983 The City’s motions in <i>Thrifty Oil</i> and <i>Blackburg</i> are opposed by Tesla, Inc., an alleged tenant of the properties at issue. Tesla’s oppositions are joined by Thrifty Oil and Blackburg, the property owners of record. The other three motions are unopposed. All five motions for prejudgment are DENIED WITHOUT PREJUDICE. <u>GROUND S FOR RULING</u> CCP § 1255.410(a) requires that a motion for prejudgment possession “state the date after which the plaintiff is seeking to take possession of the property.” None of the City’s five motions included this date. After Tesla pointed out this omission in its two oppositions, the City served a “Notice of Requested Date for Prejudgment Possession” in each of the five cases on September 3, 2026. Tesla contends the City’s omission of the date warrants denial of the two motions. The Court agrees. Moreover, because this defect is present in each of the five motions, all five must be denied. “‘The proceeding to condemn

		land for a public use is special and statutory and the prescribed method in such cases must be strictly pursued’ [citation] especially if those methods benefit the owner.” (<i>City of Needles v. Griswold</i> (1992) 6 Cal.App.4th 1881, 1895.) The requirement that a motion for prejudgment possession state the date the plaintiff seeks possession of the property is a requirement that benefits the property owner insofar as it provides certainty about the condemning agency’s intentions at the time the motion is filed, rather than days before the hearing (as the City has done here). The City’s omission of the date requires denial of the five motions without prejudice to refiling motions that comply with the requirements of CCP § 1255.410. In its replies to Tesla’s oppositions, the City argues it substantially complied with the statute, and substantial compliance is all that is required. It cites <i>Poway Unified School Dist. v. Chow</i> (1995) 39 Cal.App.4th 1478. There, the property owner sought to recover his litigation expenses under CCP § 1250.410(b), which allows a court to award the property owner litigation expenses as costs if the agency’s statutory final offer of compensation was unreasonable and the property owner’s was reasonable. A motion for recovery of litigation expenses must be filed “within 30 days after entry of judgment.” (<i>Ibid.</i>) In <i>Poway</i>, the clerk entered judgment on May 14 but never served a notice of entry of judgment. The property owner’s counsel learned of the judgment on May 17 and filed a costs motion (including litigation expenses) on June 15—more than 30 days after judgment was entered, but less than 30 days after counsel learned judgment had been entered. The property owner first argued that because the clerk had never served a notice of entry of judgment, the clock never began to run. The appellate court disagreed, holding the statute clearly referred to “entry of judgment,” not “notice of entry of judgment,” as the triggering event. (<i>Poway, supra</i>, 39 Cal.App.4th at p. 1483.) The property owner next argued that he had substantially complied with the statute. Here, the appellate court agreed. It explained that in other circumstances, courts allowed late-filed costs memoranda under CCP § 473. (<i>Id.</i>, at p. 1484 (collecting cases).) It then held, “section 1250.410 does not preclude a court from granting relief under section 473 if there is substantial compliance with the statute and the opposing party is not prejudiced.” (<i>Ibid.</i>) The appellate court expressly noted that the property owner’s counsel had submitted a declaration claiming the delay in filing the motion was due to his mistake, inadvertence, or excusable neglect. (<i>Id.</i>, at p. 1485.) <i>Poway</i> is inapposite for two reasons. First, it applies the doctrine of substantial compliance to benefit the property owner, not the condemning agency. The City invokes substantial compliance for its own benefit, not the property owner’s. This runs counter to <i>City of Needles</i>, which teaches that strict compliance is particularly appropriate when requiring strict compliance would benefit the property owner. Second, even if substantial compliance were appropriate here, relief in <i>Poway</i> was ultimately based on CCP § 473 and an attorney declaration of fault. No such declaration has been filed in any of the five cases.
11	City of Irvine vs. Corporate Park Properties Owner’s Association, Inc. 2026-01554947	Plaintiff’s Motion to Prejudgment Possession See line item #10 above
12	City of Irvine vs. Thrifty Oil Co. 2026-01554208	Plaintiff’s Motion to Prejudgment Possession See line item #10 above

13	City of Irvine vs. The Irvine Company, 2026-01554305	Plaintiff’s Motion to Prejudgment Possession See line item #10 above
14	City of Irvine vs. 96 Corporate Park 2026-01554983	Plaintiff’s Motion to Prejudgment Possession See line item #10 above